AUDIT AND ASSURANCE

Suggested Answers
November-December 2025

Answer to the Question# 1(a):

Four factors to consider before accepting the audit engagement:

Prior to acceptance, the audit firm must ensure compliance with the requirements of ISA 210 regarding agreeing the terms of audit engagements and the IESBA Code of Ethics. The following factors must be considered before accepting the audit engagement:

1. Management Integrity and Ethical Concerns
Past sanctions by Bangladesh Bank and allegations of misreporting foreign currency exposure raise doubts about management integrity, which ISA 200 emphasises as essential for a reliable audit environment. The vacancy of key positions like CFO, Head of Compliance is not merely an instability but a fundamental weakness in the control environment that increases the risk of management override. A history of misleading the central bank creates a significant audit risk and increases the likelihood of management fraud (ISA 240). Acceptance must be reconsidered if integrity concerns cannot be mitigated.

2. Ethical Threats: Self-Interest and Familiarity
The unusually high proposed audit fee may create a self-interest threat. Additionally, one audit partner providing personal tax return services to a board director creates a familiarity and conflict-of-interest threat under IESBA Framework.

Safeguards such as reassigning staff, independent review, or declining the non-audit service must be considered. If threats cannot be reduced to an acceptable level, ISA 220 requires declining the engagement.

3. Regulatory Compliance and Litigation Risk
As a financial institution, the entity is regulated by the Bangladesh Bank, and Bangladesh Securities and Exchange Commission (BSEC) under Bank Company Act 1991 and Companies Act 1994. The company will also fall under BSEC regulations.

Any prior violations or ongoing investigations significantly increase audit risk. ISA 315 requires understanding the legal environment, and violations may result in substantial penalties or management pressure to manipulate reporting.

4. Availability of Expertise and Resources
The company deals with foreign exchange, derivatives, structured deposits, and DSE-listed investments, requiring:

- valuation specialists (ISA 620)
- treasury and risk-management expertise
- systems knowledge regarding financial institutions

Under ISQM1 and ISA 220 the firm must ensure that it has access to valuation experts before accepting the audit. High-risk restructuring also demands greater partner involvement and high professional scepticism.

Answer to the Question# 1(b):

Procedures to Assess the Integrity and Reputation of Management

Under ISA 220, an audit firm must evaluate management's reputation before acceptance.

1. Reviewing Regulatory and Legal Records
Obtain and analyse Bangladesh Bank inspection reports, BSEC filings, and any sanctions, corrective action orders, penalties, or compliance breaches. This provides evidence of past behaviour and whether management cooperates with regulators.

2. Conducting Background Checks on Key Management
Verify qualifications, performance history, and involvement in past disputes. ISA 315 requires understanding management competence and integrity as part of risk assessment. In addition, check the backgrounds of directors and key managers, including qualifications, track records, and any involvement in past frauds or legal issues. Search news and industry sources for adverse information.

3. Communication with Previous Auditors
As allowed by the Companies Act 1994 and ISA 510, contact the predecessor auditors to enquire about:

- reasons for resignation or non-reappointment
- management's attitude toward internal control
- disputes over accounting treatment
- cooperation during prior audits

Information from prior auditors is crucial in determining whether ethical issues or conflicts exist.

Answer to the Question# 1(c):

Implications of the Information for the Audit Approach
The issues identified will affect the audit plan under ISA 300 and require enhanced risk responses under ISA 330.

1. Increased Use of Experts and Specialist Valuation Work
Due to complex financial instruments, foreign exchange exposures, and fair-value measurement issues under IFRS 9, specialists (ISA 620) may be required for:

- investment valuation
- fair-value hierarchy assessment
- impairment modelling

2. More Substantive Testing and Less Reliance on Internal Controls
The auditor should place minimal reliance on internal controls and perform extensive substantive testing. Weak controls in treasury operations and past misreporting mean the auditor may not rely on controls (ISA 330). Substantive procedures will focus on:

- valuation of derivatives and FX positions
- classification and recognition under IFRS 9
- completeness and accuracy of disclosures

3. Enhanced Professional Scepticism and Expanded Disclosure Review
Due to management integrity concerns and regulatory pressure, ISA 540 requires heightened scepticism over estimates and assumptions.

Extensive disclosures relating to restructuring, regulatory compliance, contingent liabilities, and fair-value risks must be verified carefully under IFRS and ISA 700.

Answer to the Question# 2(a) (i):

Tender preparation
Additional service
X Ltd
The decision to provide advice and assistance in connection with the tender is not unethical provided it is made clear to the directors that any tender ultimately remains their responsibility. The directors should be sent a supplementary engagement letter, distinguishing the nature of an audit from other work and clarifying the extent of the advice to be given.

Y Ltd
Independence may also be affected by a conflict of interest between two clients competing by tender for the same contract. Providing advisory services to both competitors would likely impair the practitioner's objectivity and could lead to a breach of the duty of confidentiality. In this case since the auditor is a sole accountancy practitioner so safeguard such as 'Chinese walls' which could be put in place in a larger firm is unlikely to be feasible.

Therefore, it would be preferable to advise only one of the two clients – probably X Ltd as already agreed – and thereby avoid conflict. However, the knowledge of Y Ltd & Co's business may be seen to impair objectivity, and Y Ltd & Co might well object to assistance being provided to X Ltd.

It may therefore be best to advise neither client but to explain the predicament to both and suggest that each consults another independent firm of accountants.

Answer to the Question# 2(a) (ii):

Situation

To inform the directors of P Ltd that the accounts will not give a true and fair view unless an allowance for doubtful receivables is made against the debt due from Q Ltd would be a breach of confidentiality. It could also have the undesirable effect of precipitating the collapse of Q Ltd since the directors of P Ltd would take steps to obtain payment from Q Ltd as soon as possible.

To ignore the information about Q Ltd's financial position (since it is not publicly available) and give an unqualified auditors' report, in a situation where the accounts are known (by the auditor) not to give a true and fair view, would be prima facie a breach of an auditor's statutory duty under the Companies Act 1994 and in breach of Confidentiality of the Code of Ethics.

Action

If the auditor is to continue to act for P Ltd the conflict must be resolved. To do so robust audit procedures should be followed and enquiries made to enable the information about Q Ltd to be obtained from another source. It may be possible to delay forming an opinion until the situation crystallises. Under no circumstances must there be any disclosure of confidential information outside the firm.

Answer to the Question# 2(b) (i):

A key feature of assurance services is that they are provided by independent professionals who therefore give an objective, unbiased opinion. Here, the company management will get the following benefits due to financial statements audited by the Chartered Accountant.

- Enhances the credibility of the information being reported on
- Reduces the risk of management bias, error or even fraud in the information being reported on
- Draws the attention of the user to any deficiencies in the information being reported on Assurance services also give added credibility to the wider share market:
- They ensure that high quality, reliable information circulates in the market.
- They give investors added faith in the market.
- They improve the reputation of organisations trading in the market.

Answer to the Question# 2(b) (ii):

- Professional standards and engagement terms
  - Carrying out the assurance service in accordance with professional and ethical standards.
  - Carrying out the assurance service in accordance with the terms of engagement.
- Opinion on the financial statements and compliance with applicable laws and regulations
- In the case of statutory audit, the auditor is, in addition, responsible for the following:
  - Forming an independent opinion on the truth and fairness of the annual accounts.
  - Confirming that the annual accounts have been properly prepared in accordance with the Companies Act 1994.
  - Confirming that the information contained within the directors' report is consistent with the annual accounts.
  - Confirming that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Answer to the Question# 3(a):

Summary of Main Audit Risks
The prospective auditor will assess three key components of audit risk:

1. Inherent Risk
Inherent risk arises from the nature of the business and items in the financial statements.
In this case, inherent risk is high because:

- Perishable inventory, outdated software, and heavy reliance on estimates make misstatements likely.
- The bakery industry in Bangladesh involves manual processes, shrinkage, and wastage, increasing risk.
- Weak governance, unethical directors, and management override further increase inherent risk.

Inherent risk cannot be controlled by the auditor; it must be accepted and planned for.

2. Control Risk
Control risk is the risk that the internal control system will fail to prevent or detect misstatements.
Control risk is high because:

- Internal controls in Shonar Bangla Foods are weak and poorly implemented.
- Inventory counts rarely take place.
- Procurement is controlled solely by the MD, without checks.
- Staff are poorly trained and duties are not segregated.
- Unauthorised access to premises increases fraud risk.

Auditors may perform tests of controls, but initial control risk assessment will be very high.

3. Detection Risk
Detection risk is the risk that audit procedures will fail to detect misstatements.
To achieve acceptable overall audit risk, the auditor must:

- Increase substantive testing
- Apply more detailed sampling
- Perform extended analytical procedures

Thus, detection risk must be reduced because inherent and control risks are extremely high.

Answer to the Question# 3(b):

Summary of Business Risk and Its Link to Financial Statements
Business risk is the threat that events or conditions could prevent the company from achieving its objectives. These risks affect the financial statements by creating potential misstatements. Major business risks in this scenario include:

1. Regulatory / Compliance Risk

- Shonar Bangla Foods faces NBR threats regarding unpaid VAT, corporate tax, and withholding tax.
- If liabilities or provisions are not recorded, the financial statements will be misstated.

2. Financial Risk

- The company has liquidity problems and cannot pay suppliers, salaries, or taxes.
- This creates severe going-concern risk.
- If not disclosed, the financial statements will be materially misstated.

3. Reputational Risk

- Unethical directors and negative publicity have reduced customer trust and revenue.
- This could affect goodwill and lead to impaired assets or declining sales not reflected in FS.

4. Operational Risk

- Outdated accounting software
- Poor internal controls
- Fraud due to lack of segregation of duties
- Uncontrolled access to premises
- Over-reliance on key employees

These operational failures lead to errors in inventory, revenue, and expenses—directly affecting the financial statements.

Answer to the Question# 3(c):

Summary of Financial Statement Risks that Affect Audit Risk
Key areas where misstatements are likely at Shonar Bangla Foods & Bakery Ltd.:

1. Overstatement of Revenue
Weak controls and manual processes may lead to premature or fictitious revenue recognition.

2. Overstatement of Current Assets
- Doubtful receivables from directors and customers
- Perishable or expired inventory not written off

3. Overstatement of Non-current Assets
Failure to identify impairment of old bakery equipment or machinery.

4. Understatement of Liabilities
- Unpaid taxes (VAT, corporate tax, withholding tax) could result in understatement of liability
- Supplier dues may not be fully recorded

5. Understatement of Operating Expenses
Expense ratios may be manipulated to conceal losses or inefficiencies.

6. Risks from Accounting Estimates
Provision for bad debts, inventory valuation, depreciation, and impairment rely on management judgement leading to high risk of bias.

7. Non-compliance with Accounting Standards
Directors purchasing products on credit lead to related party transactions that must be disclosed as per IAS 24. Consequently, possibility of failure to apply IFRS/IAS correctly arises, including improper disclosures and misclassified items.

Answer to the Question# 4(a):

Key deficiencies

- Absence of formal quality objectives

ISQM 1 requires firms to design and implement a risk-based system of quality management. MH & Partners' failure to establish quality objectives, identify quality risks and design responses represents a fundamental breach of the standard. The firm appears to operate on an informal, experience-based approach, which does not meet the requirements of ISQM 1.

- **Lack of a documented risk assessment process**

ISQM 1 requires firms to establish quality objectives addressing governance, ethical requirements, engagement performance, resources, information systems, and monitoring. MH & Partners has no such framework, exposing the firm to unmanaged quality risks such as insufficient staff competence or inappropriate client acceptance.

- **Insufficient resources and staff training**

ISQM 1 requires firms to ensure personnel have competence and capacity. Staff have not attended training for three years, increasing the risk of applying outdated auditing standards. This threatens compliance with ISA 220 (revised) which emphasizes staff competence.

- **Inadequate client acceptance procedures**

ISQM 1 requires procedures designed to ensure only appropriate clients are accepted. The acceptance of Orion Manufacturing PLC without proper diligence creates a risk that the firm may be associated with unethical or illegal conduct. This also endangers compliance with the IESBA Code of Ethics.

- **Lack of monitoring and remediation**

ISQM 1 requires ongoing monitoring of the system of quality management. The regulatory findings show quality issues were unknown to management, indicating no monitoring process or root-cause analysis.

Recommendation for improvements
- Establish formal, documented quality objectives aligned with ISQM 1.
- Introduce annual staff training plans and performance evaluations.

- Implement structured client acceptance procedures, including credit checks, ethical assessments and checks for legal/ regulatory issues.
- Develop a monitoring program involving internal file reviews, thematic inspections and root-cause analysis.
- Assign a quality partner responsible for oversight in both offices, ensuring consistency.

Answer to the Question# 4(b):

Requirement of an Engagement Quality Review (EQR)

Under ISQM 2, an Engagement Quality Review (EQR) is mandatory for listed entities and other high-risk engagements. Fortune Securities Ltd. is a PIE with assets of BDT 120 billion, clearly meeting the criteria.

Responsibilities of the firm

- **Appointment of an eligible reviewer**
  The EQR reviewer must have appropriate seniority, technical competence and independence from the engagement team. The firm must maintain a pool of eligible reviewers or appoint an external reviewer if necessary.
- **Performance of the EQR**
  The EQR must be completed before the audit opinion is signed. The reviewer must evaluate key judgments, significant risks, conclusions drawn from audit evidence, and assess whether the audit complies with professional standards.
- **Documentation**
  ISQM 2 requires documentation of the reviewer's findings, responses by the engagement partner, and confirmation that the EQR is complete.

Impact of absence of an EQR:

- Regulatory non-compliance may result in administrative fines from the FRC.
- Audit quality is significantly compromised because key judgments remain unchallenged.
- The auditor's report may be inappropriate or unsupported, especially for a PIE with heightened risk of public interest harm.
- The firm's reputation and credibility may be damaged, weakening its ability to retain major clients.

Therefore, MH & Partners breached a mandatory requirement of ISQM 2 and exposed the firm to significant audit and regulatory risks.

Answer to the Question# 4(c):

ISA breaches

- **Client acceptance requirements (ISA 220)**
  The firm failed to assess the client's integrity, regulatory background and business risks. Negative media reports about tax evasion should trigger enhanced due diligence. The firm should have evaluated whether it possesses adequate competence and whether the engagement poses ethical threats.
- **Risk assessment (ISA 315 and ISA 330)**
  Lack of understanding of the entity and its environment results in inappropriate audit responses under ISA 330. The failure to perform due diligence could lead to inadequate identification of risks of material misstatement. For a client under investigation, the auditor should expect heightened fraud risks.
- **Reliance on management representations (ISA 580)**
  ISA 580 states that management representations cannot replace substantive audit procedures. The inspection found reliance on management representations without corroborative evidence. The auditor should obtain external confirmations, analytical procedures, and evidence from independent sources.
- **Audit documentation (ISA 230)**
  Unsigned working papers and missing partner reviews violate ISA 230, which requires timely preparation, completeness of documentation and evidence of partner supervision. Documentation must explain nature, timing and extent of procedures and demonstrate compliance with ISAs.

Recommended improvements

- Perform due diligence including background checks, AML assessment and risk scoring;
- Use enhanced audit procedures for high-risk clients, including forensic-style testing;
- Corroborate management representations with independent evidence;
- Introduce digital audit tools ensuring all working papers are signed, reviewed and locked before file completion.

Answer to the Question# 5(a):

Detection risk is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

It is up to the auditor to organise the way the engagement is handled, so that the risk of material misstatement is reduced to acceptable levels. The followings were shortcomings in the case of audit team of Wrapper Ltd.

- Ensuring that the audit team has the necessary mix and depth of experience and skills;
- Devising an audit plan which tackles the audit risks;
- The audit team relied on small, arbitrary samples. They did not perform sufficient procedures such as testing all large receivable balances, reconciling sales to cash receipts, or detailed analytical review of sales trends;
- The auditors accepted management's claim without challenge. There was a lack of skepticism given the circumstances.

Answer to the Question# 5(b):

Shams
Materiality/true and fair
The difference between the figures prepared on each basis may not be significantly different. However, the effect on the business is so significant that the user needs to be made aware of the situation. The auditor needs to judge whether the disclosures are sufficient for the user to understand the circumstances.

Ram
Materiality/true and fair
Although material to Wren as 42% of pre-tax profits, it is unlikely to be considered material in the context of the consolidated profit as it is only 1.5% of consolidated profit.
Materiality should be considered in the context of the entity on which the auditor is reporting. However, it may be material by nature if a key ratio (e.g., current ratio) is affected.

Karon Materiality/true and fair
There is no obligation at the reporting date in respect of restructuring costs. The financial statements therefore do not comply with IFRS, Provisions and Contingencies as they include a provision (premature recognition) in respect of restructuring costs. The amount of the provision for restructuring costs is considered material by size as it is 25% of profit, thereby exceeding the commonly used yardstick of 5%–10% of profit.

Answer to the Question# 6(a)(i):

Importance of going concern

- **Fundamental accounting basis**: The 'Going concern basis of accounting' is an accounting concept. It is presumed to apply to any financial statements, unless contrary disclosure is given.
- **Impact on measurements**: The amount at which assets and liabilities are included in the statement of financial position may be significantly different where the company is not a going concern. For example:
  - Assets will be valued on a break-up basis.
  - Additional provisions (eg, for closure costs) may be required.
- **Impact on classifications:** The classification of items will differ where financial statements reflect a break-up basis. For example, non-current assets/liabilities reclassified as current.

- **Legal and professional duty:** The Companies Act and ISA 570 explicitly require the auditor to consider going concern. Failing to do so can result in issuing an inaccurate audit report and expose the auditor to legal liability.
- **Stakeholder relevance:** Lenders, investors and other stakeholders rely on the audit report for assurance. If a company is likely to fail, stakeholders need to know. An auditor's failure to highlight going concern issues could mislead users and harm their decisions.
- **Adverse publicity:** The risk of failure is a real threat to many businesses and the failure of the auditor to give any warning may result in litigation/adverse publicity.

Answer to the Question# 6(a)(ii):

Audit works regarding going concern

To ascertain whether Famine Motors plc can meet its debts as they fall due:

- Obtain a written statement (management representation) from the managing director confirming their considered view that the company is a going concern.
- Review management's profit and cash flow forecasts for the next financial year to ascertain, *inter alia*, the company's working capital requirements.
- Confirm the appropriateness of relevant assumptions (eg, average trade receivables collection period) by comparison with ratios obtained from analytical procedures.
- Request a statement of borrowing facilities to be included in the bank confirmation letter.
- Review the day-to-day utilisation of the bank overdraft facility and its proximity to the current limit.
- Obtain a loan confirmation from the lending company and confirm that all instalments to date have been met.
- Discuss with the credit controller (or financial accountant) the current pressures under which the company is being placed by larger customers who may be seeking extended credit terms.
- Undertake sensitivity analysis on client's forecasts to variable factors both within the managing director's control and outside it.
- Review the level of trade and other payables (including VAT and TAX and whether any penalties are being incurred) after the reporting date and the extent to which they are financing short-term needs.
- Obtain written confirmation from the company's legal adviser as to whether or not there are any pending legal claims.

Answer to the Question# 6(a)(iii) (1):

<u>Agree with director's assertion</u>

- If doubt surrounding the going concern status of the company is minimal, disclosure in the financial statements would not be required in order to give a true and fair view. The auditor's opinion would therefore be unqualified. The report would still, however, need to contain a section headed 'Conclusions relating to Going Concern' in which the auditor would state that they are required to report by exception in relation to going concern, and have nothing to report in relation to this.

- Inability to trade could affect the going concern status of the company (unlikely), the matter should be disclosed in the financial statements. If adequate disclosure is made in the financial statements, the auditor should express an unqualified opinion but modify their report by adding a paragraph headed 'Material Uncertainty Related to Going Concern' that:
  - highlights the existence of a material uncertainty relating to the event or condition that may cast significant doubt on the company's ability to continue as a going concern
  - draws attention to the note in the financial statements that discloses these matters

Answer to the Question# 6(a)(iii) (2):

Disagree with director's assertion

The form of auditor's report will depend upon the materiality and extent to which the uncertainty has been disclosed in the financial statements.

As the director appears confident about the future, it is unlikely that adequate (if any) disclosure has been made. The auditor's opinion would therefore be modified (qualified/adverse) on the grounds of material misstatement due to the inadequate disclosure of the uncertainty and state that the financial statements do not give a "True and Fair" view because they are prepared on a going concern basis when a "Break-up Basis" is required.

Answer to the Question# 6(b)(i):

Why related party transactions are high risk area

- **Non-arm's length:** Related party transactions pose higher audit risk because they are frequently not conducted on arm's-length terms and may be used to manipulate financial performance, shift profits, disguise liabilities, or conceal fraud.
- **Management override of controls:** Such transactions may bypass normal internal controls and management may fail to disclose relationships or arrangements.
- **Inadequate disclosures:** IAS 24 requires that related party transactions are appropriately disclosed. However, there is a risk that there may be complete omission or incomplete disclosure of related party transactions in the financial statements;
- **Complexity:** The economic substance of these transactions may differ from their legal form, contributing to a risk of material misstatement.

Answer to the Question# 6(b)(ii):

Under ISA 550, auditors must identify related party transactions for several reasons:

- **Fraud risk identification:** To recognise fraud risks arising from related party relationships, even if the reporting framework doesn't explicitly require it.

- **Compliance with reporting framework:** To ensure related party relationships and transactions are properly identified, accounted for, and disclosed according to the applicable financial reporting standards.

- **Risk assessment:** To gather information for assessing risks associated with related parties, as part of ISA 315 requirements.

- **Risk response:** To design audit procedures addressing assessed risks of material misstatement due to related party transactions (ISA 330).

- **Management awareness and bias:** To identify potential management ignorance or bias regarding related party disclosures, which could increase fraud or misstatement risk.

- **Written representations:** To obtain confirmation from management that all related party relationships and transactions have been disclosed and accounted for appropriately.

- **Forming audit opinion:** To enable the auditor to draw accurate conclusions and issue the correct audit opinion based on the assessed risks and evidence gathered.

---The End---